



清华大学
Tsinghua University

General Management 2026 Spring

Dr. Liuxin Yan

Assistant Professor

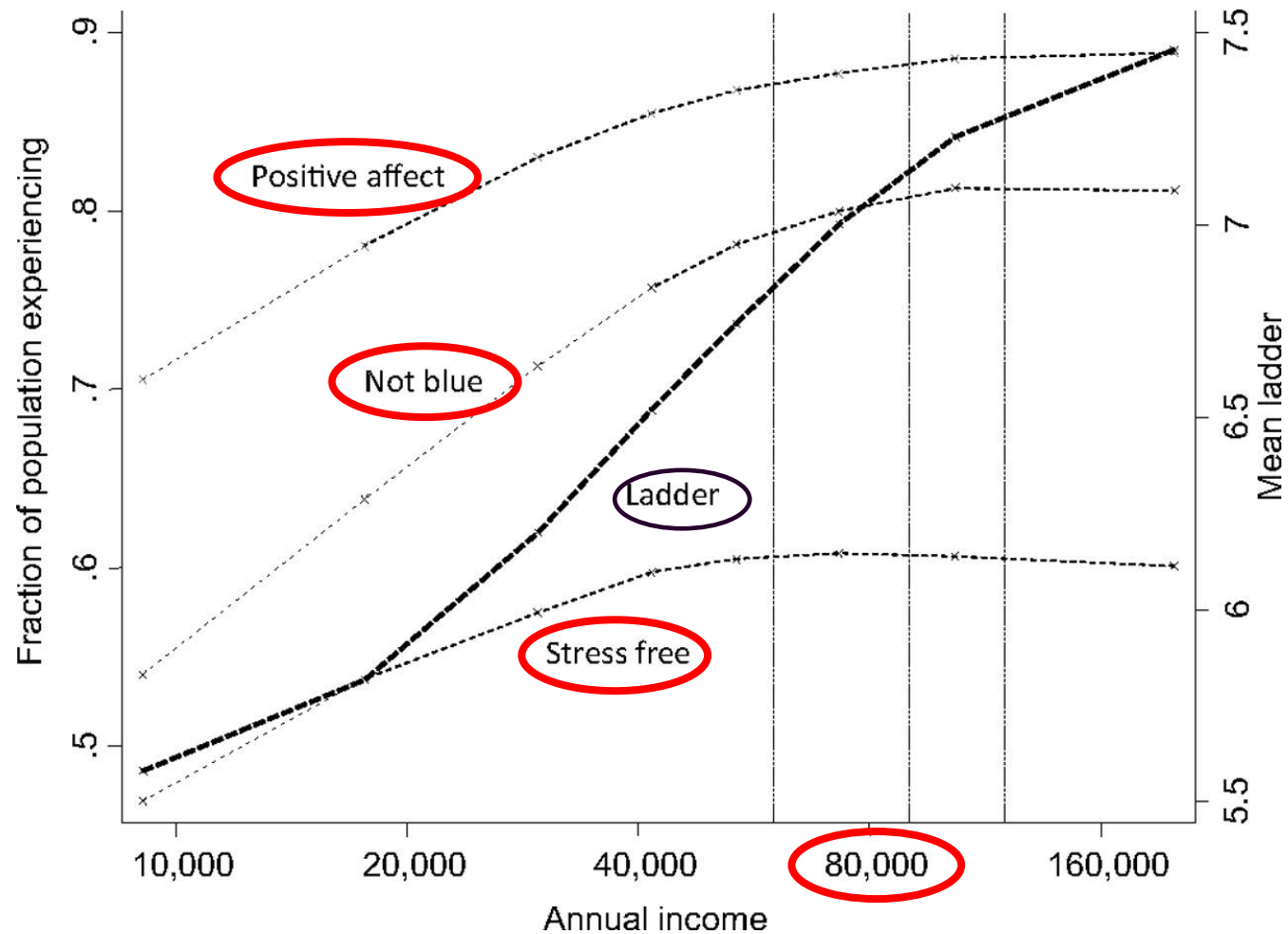
Leadership and Organization Management

School of Economics and Management

- Instructions for Individual Paper #1 will be released on Saturday 5pm
 - Deadline: Week 8 (April 19th)
- Submission for group project topic will open on Saturday 5pm
 - Deadline: Week 6 (April 5th)
 - Non-graded
 - For feedback purposes



The Effect of Money on (Emotional) Well-being is Limited...



Employee Engagement by Region

Region	Engaged	Not Engaged	Actively Disengaged
United States + Canada	29%	54%	18%
Australia + New Zealand	24%	60%	16%
Latin America	21%	60%	19%
Western Europe	14%	66%	20%
SE Asia	12%	73%	14%
Central + Eastern Europe	11%	63%	26%
Middle East + N.Africa	10%	55%	35%
South Asia	10%	61%	29%
Sub-Saharan Africa	10%	57%	33%
East Asia	6%	68%	26%

Motivation



- Motivation refers to the processes that account for an individual's intensity, direction, and persistence of effort toward attaining a goal.
- The level of motivation varies both between individuals and within individuals at different times.





Definition: Three Key Elements

- The three key elements of motivation are:
 - **Intensity:** concerned with how hard a person tries.
 - **Direction:** the orientation that benefits the organization.
 - **Persistence:** a measure of how long a person can maintain his/her effort.

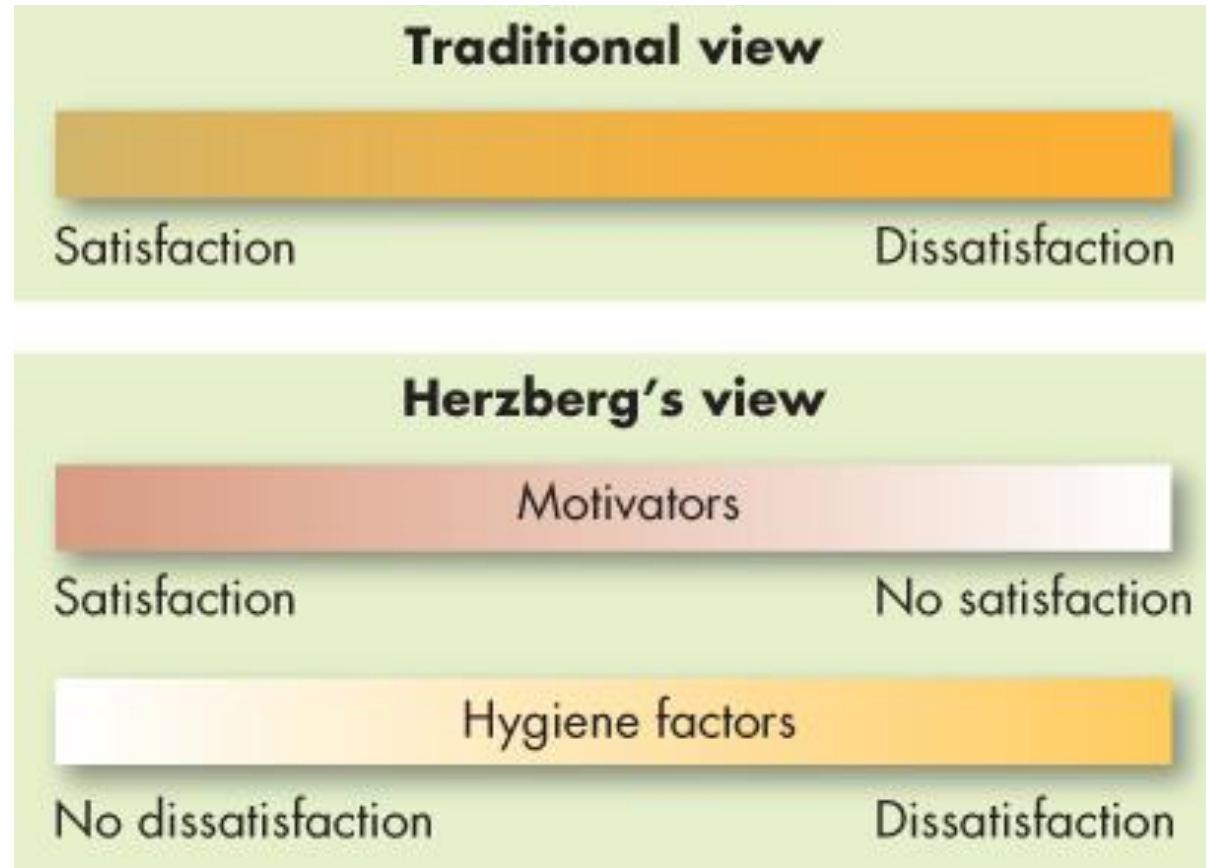
Hierarchy of Needs



Hierarchy of Needs



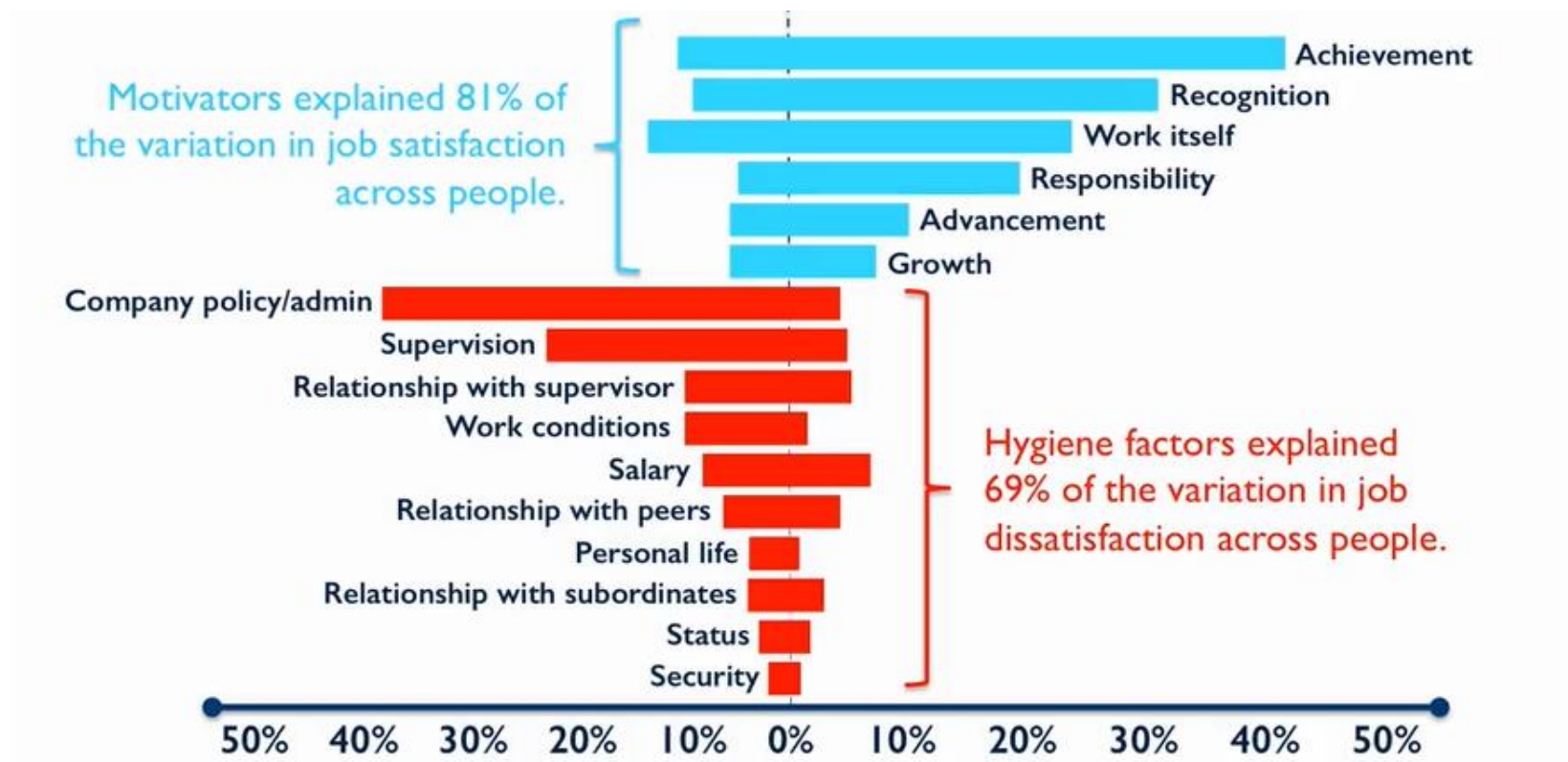
Herzberg Two Factor Theory



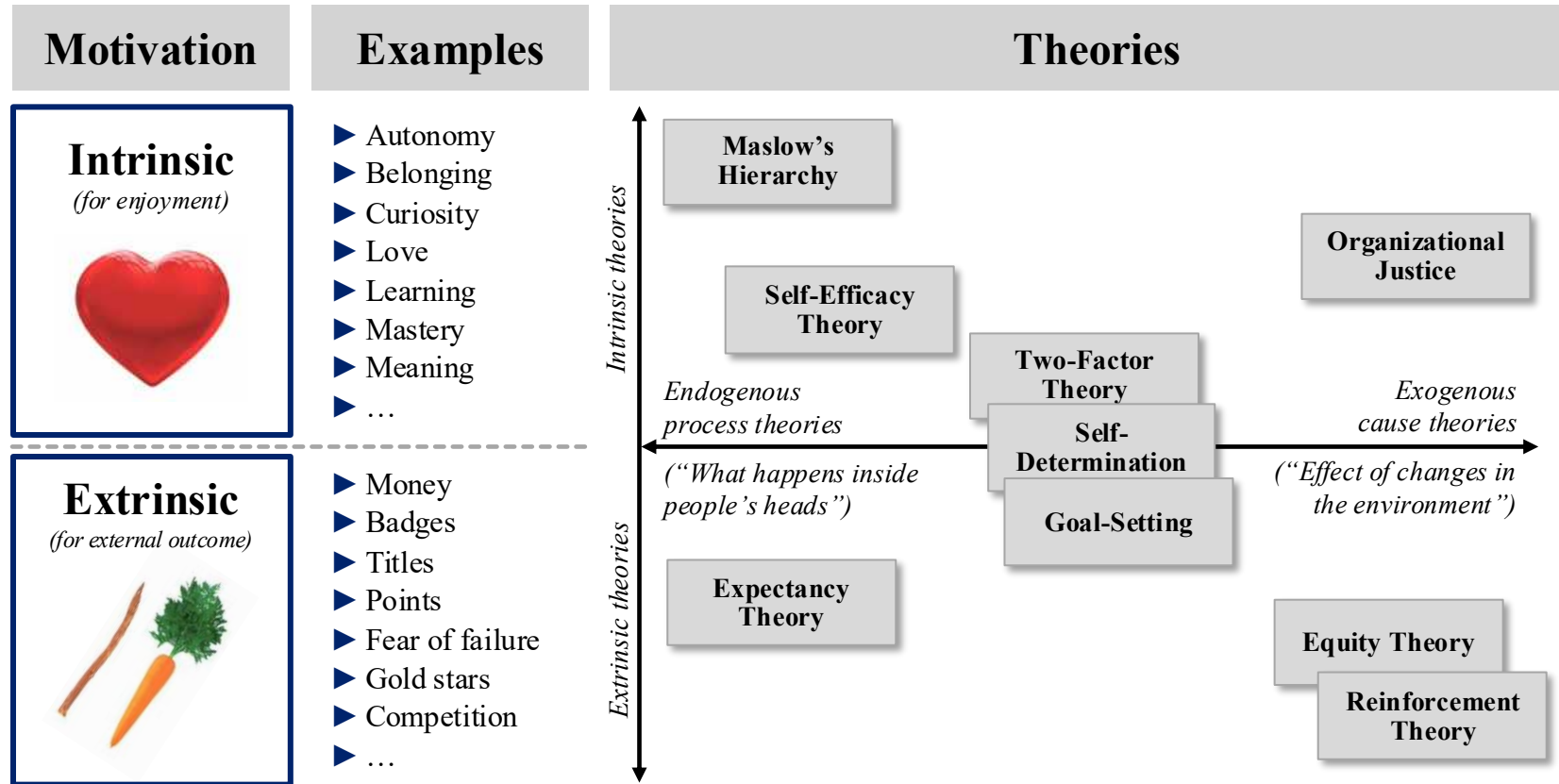
Drivers of Satisfaction vs. Dissatisfaction (Herzberg's Two-Factor Model)



Drivers of satisfaction are different from drivers of dissatisfaction



Drivers of Motivation

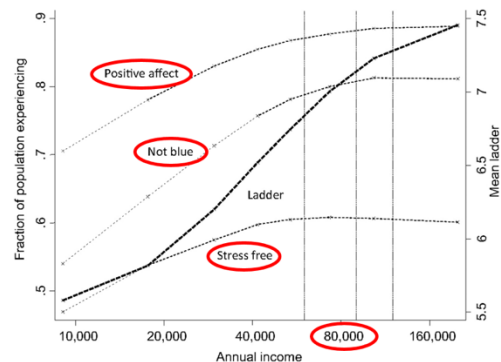


Limitation #1: Money has a Limited Effect on Happiness

“Money doesn’t make you happy. I now have \$50 million but I was just as happy when I had \$48 million.”

Arnold Schwarzenegger

The effect of money on well-being is limited...



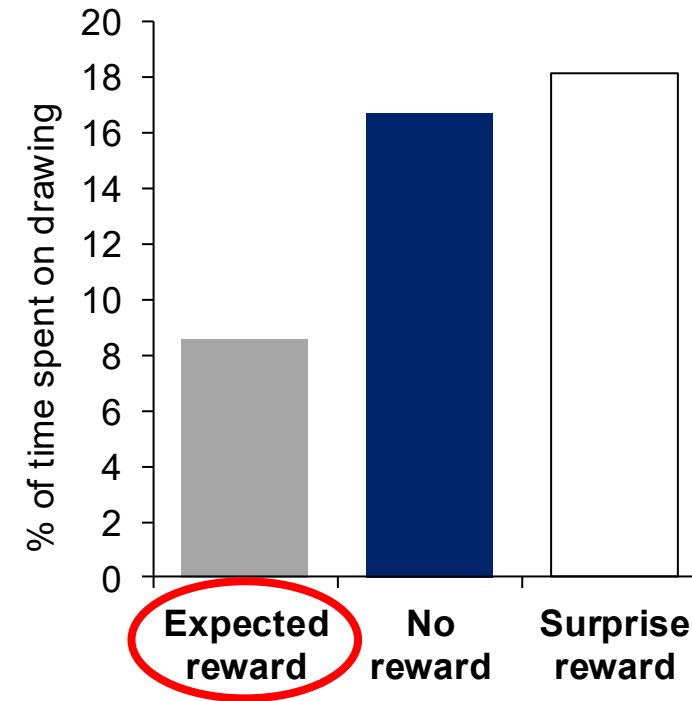
Limitation #2: Monetary Incentives can Undermine Creativity

Reward conditions

- Expected reward
- No reward
- Surprise reward (control)



Time spent drawing





Limitation #3: Monetary Incentives Affect Rule Following

ANNOUNCEMENT: Fine For Coming Late

As you all know, the official closing time of the day care center is 1600 every day. Since some parents have been coming late, we (with the approval of the authority for Private Day-Care Centers in Israel) have decided to impose a fine on parents who come late to pick up their children.

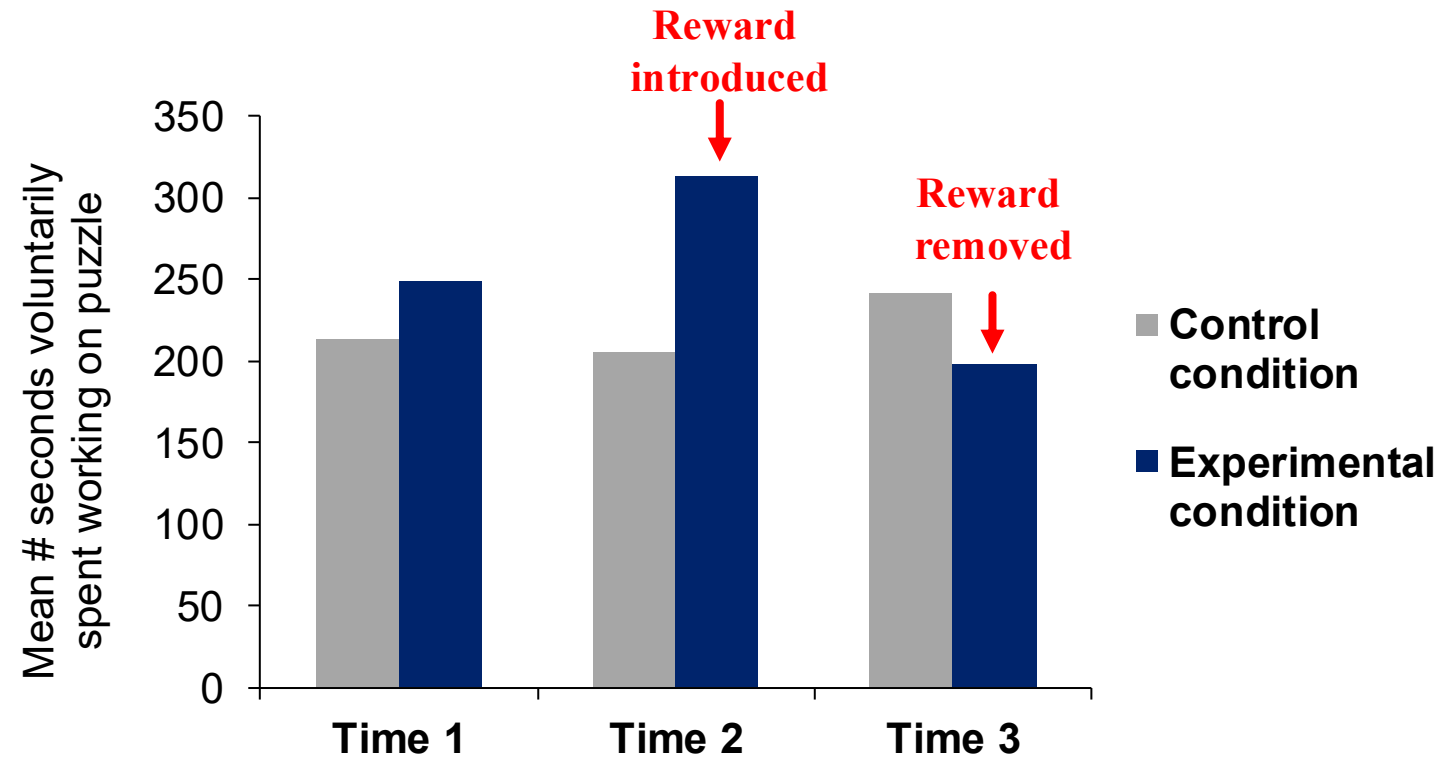
As of next Sunday a fine of NS10 will be charged every time a child is collected after 1610. This fine will be calculated monthly, it is to be paid together with the regular monthly payment.

Sincerely,
The manager of the daycare center

**The fine re-frames the issue as an economic exchange,
not a moral issue**

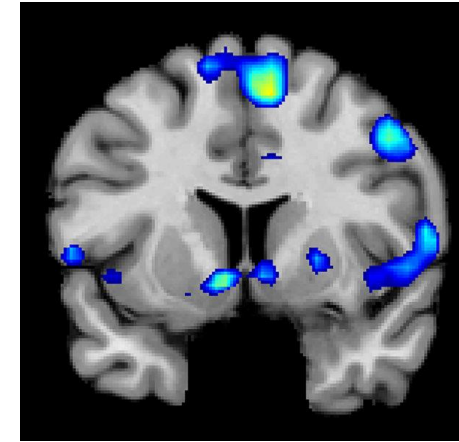


Limitation #4: Monetary Incentives can be Demotivating

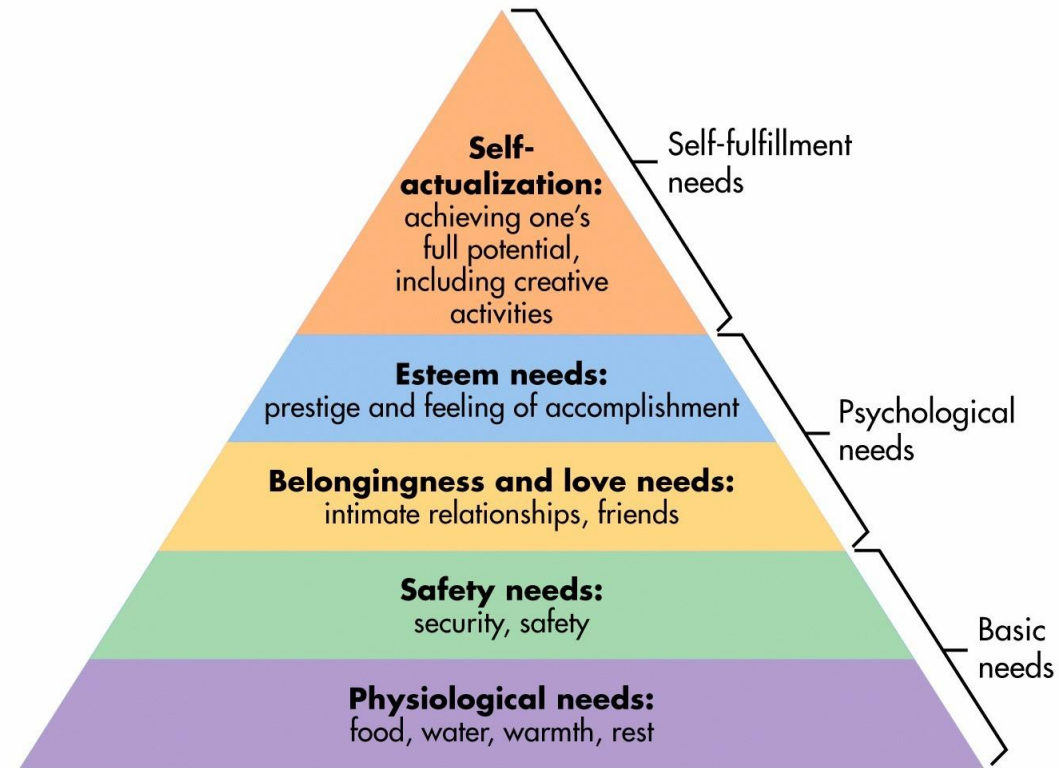


Rewarding an intrinsically interesting task undermines motivation to engage in task

Limitation #5: Money is Addictive



If money isn't the solution, we need to understand what people really value?



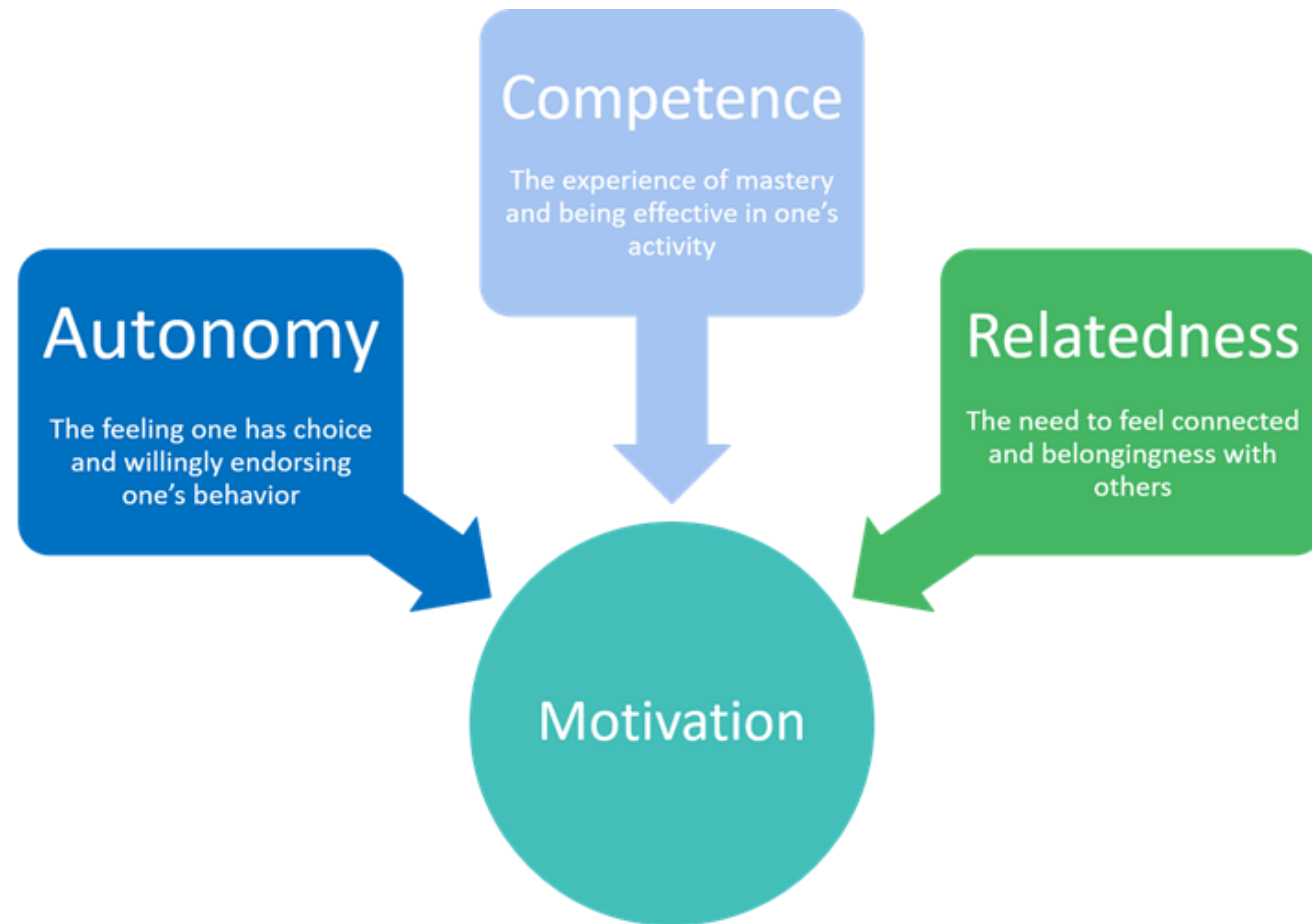
Take-away: Extrinsic incentives don't satisfy all needs

Self-Determination Theory



- People prefer to feel they have control over their actions.
- Focus on the **beneficial effects of intrinsic motivation** and **harmful effects of extrinsic motivation**.
- Proposes that in addition to being driven by a need for autonomy, people seek ways to achieve competence and positive connections to others.

Self-Determination Theory



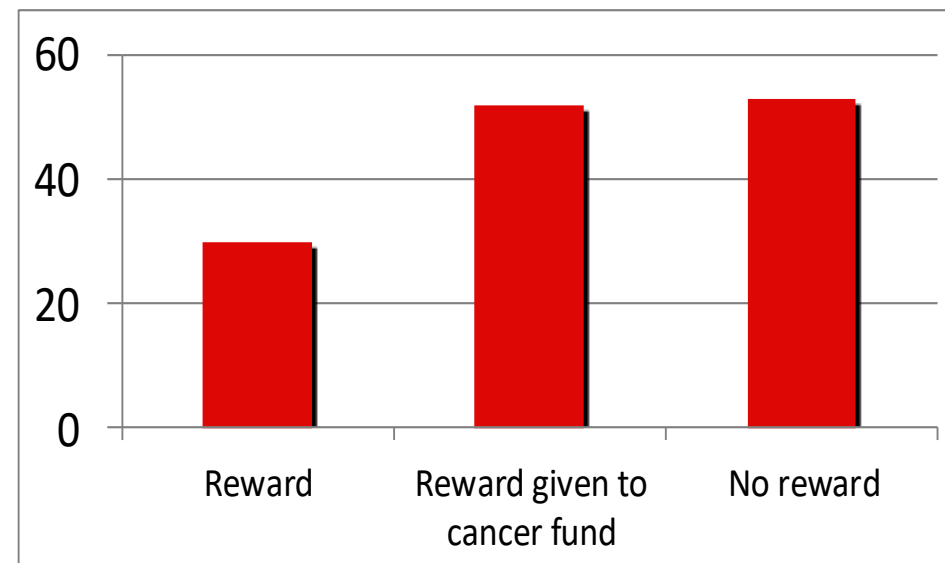
Making Incentives Work #1: Tie Rewards to Intrinsic Motivation

Blood donation (Sweden)



- ▶ **Group 1:** \$7 reward
- ▶ **Group 2:** \$7 reward to children cancer fund
- ▶ **Group 3:** No reward

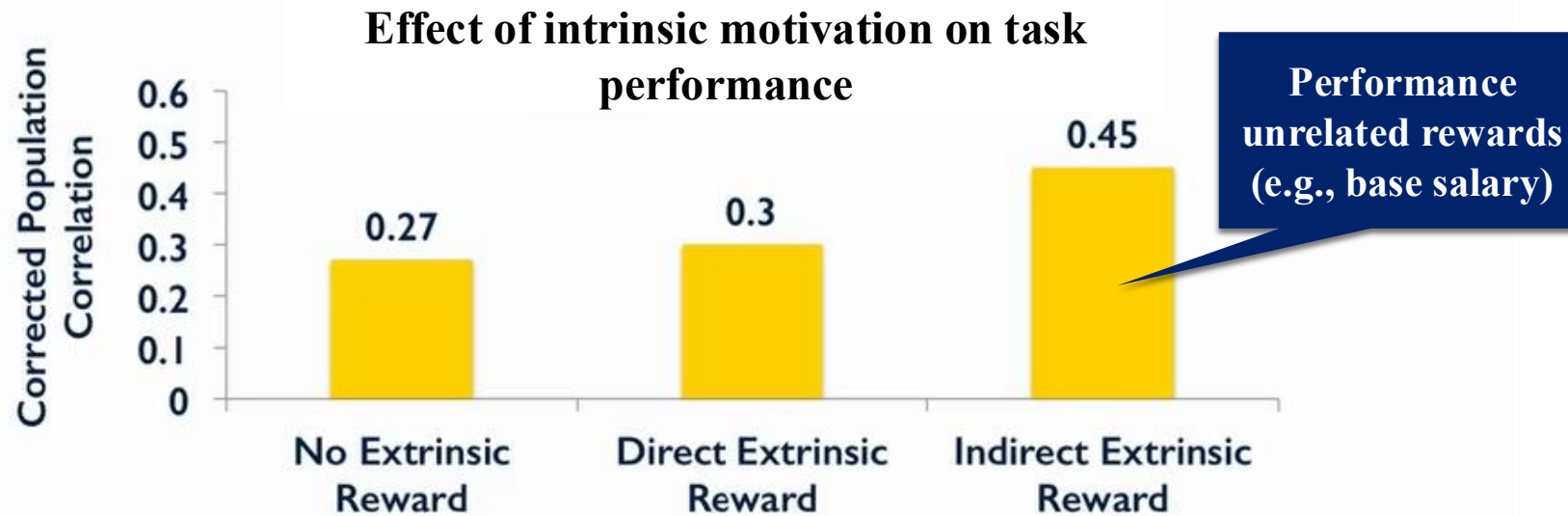
Amount of blood given





Making Incentives Work #1: Tie Rewards to Intrinsic Motivation

Meta-analysis: Direct vs. indirect extrinsic rewards



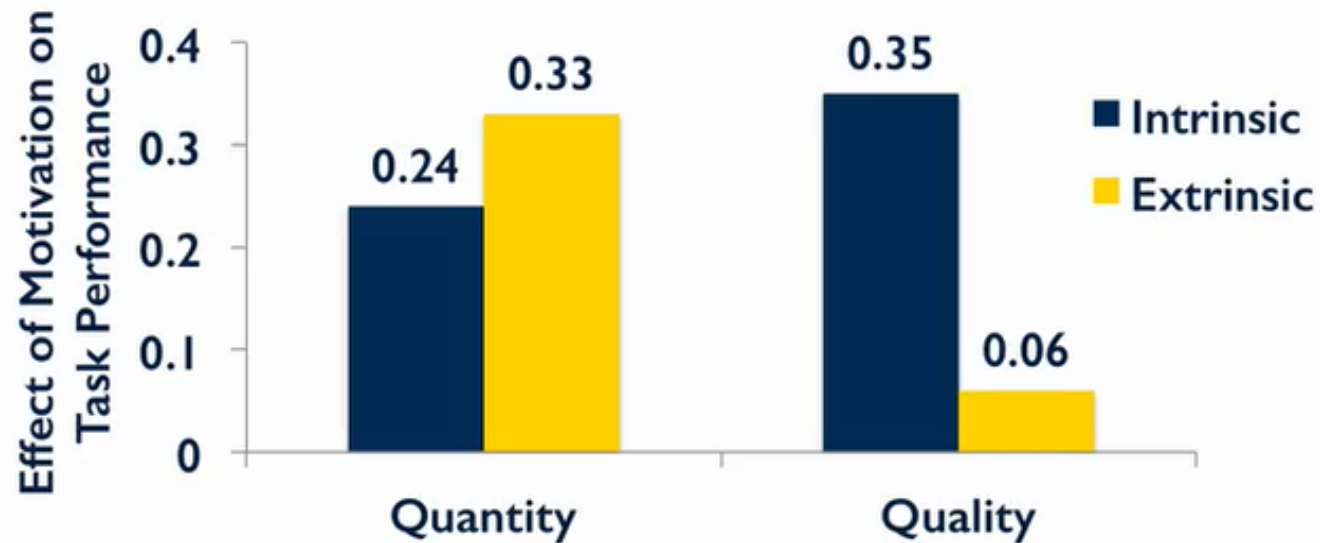
Note: Sample size ranges from 3,133 to 117,017.

Takeaway: Extrinsic rewards help if they don't "crowd out" intrinsic motivation



Making Incentives Work #2: Align Rewards with Desired Outcome

Meta-analysis: Incentivizing quantity vs. quality



- If you want quantity, use a mix of extrinsic and intrinsic rewards
- If you want quality, use intrinsic rewards



Making Incentives Work #3: Offer Timely Rewards

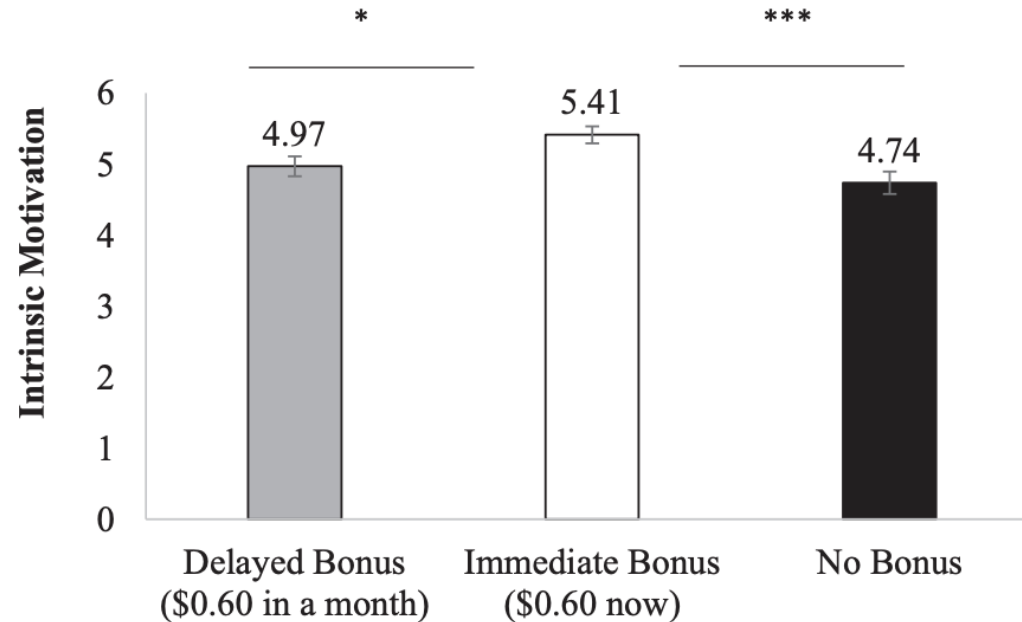
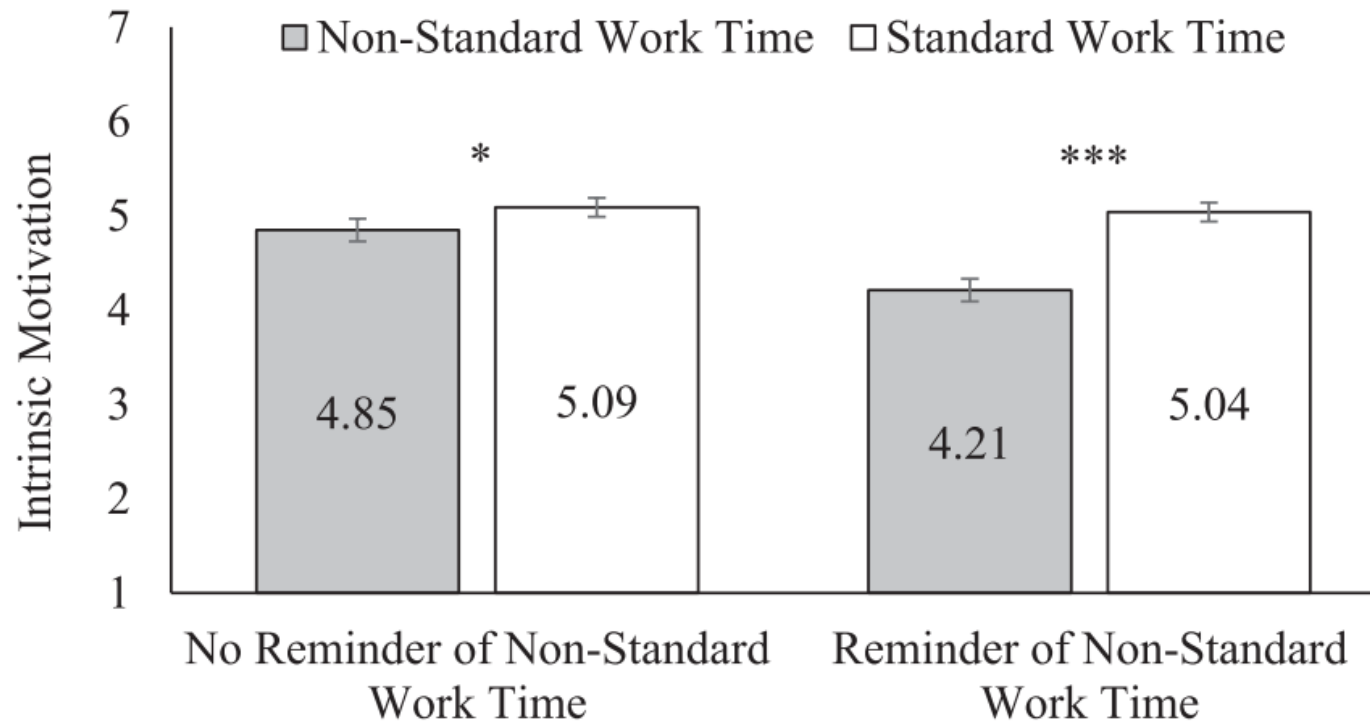


Figure 1. An immediate bonus increased self-reported intrinsic motivation to work on a spot-the-difference task compared with a delayed bonus or no bonus (Study 3. Error bars represent *SEM*; * $p < .05$, *** $p < .001$).

Takeaway: Timing of the rewards matter



Making Incentives Work #4: Non-Standard Work Time Matters



Takeaway: Don't bother your employees on holidays too much

What Would You Prefer?

Option A

- ▶ \$1900 bonus, but it is the largest in your team



Option B

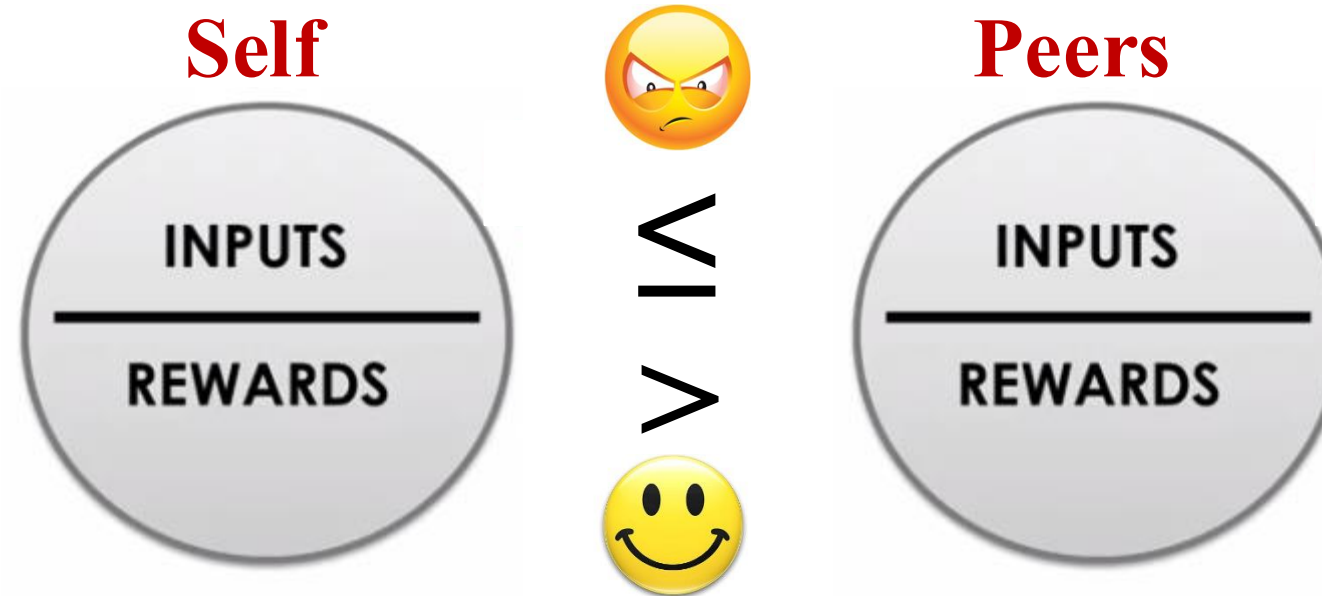
- ▶ \$2000 bonus, but it is the smallest in your team



59% of managers would prefer Option A

Making Incentives Work #5: Ensure that Rewards are Allocated Fairly

Equity theory

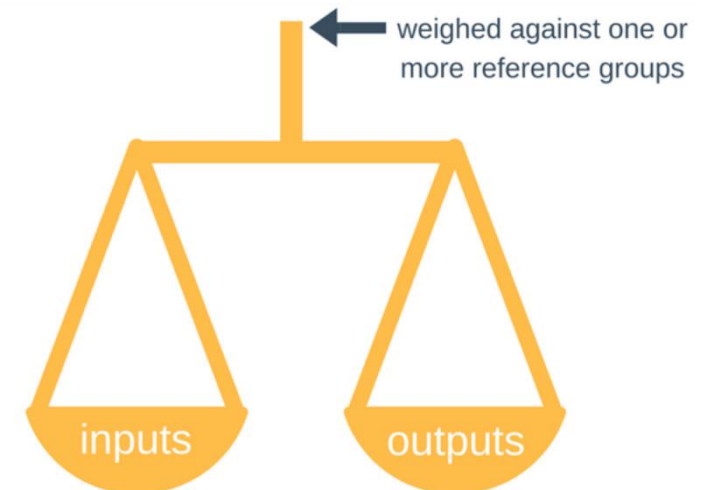


Reward-effort ratios are relative to peers, not absolute

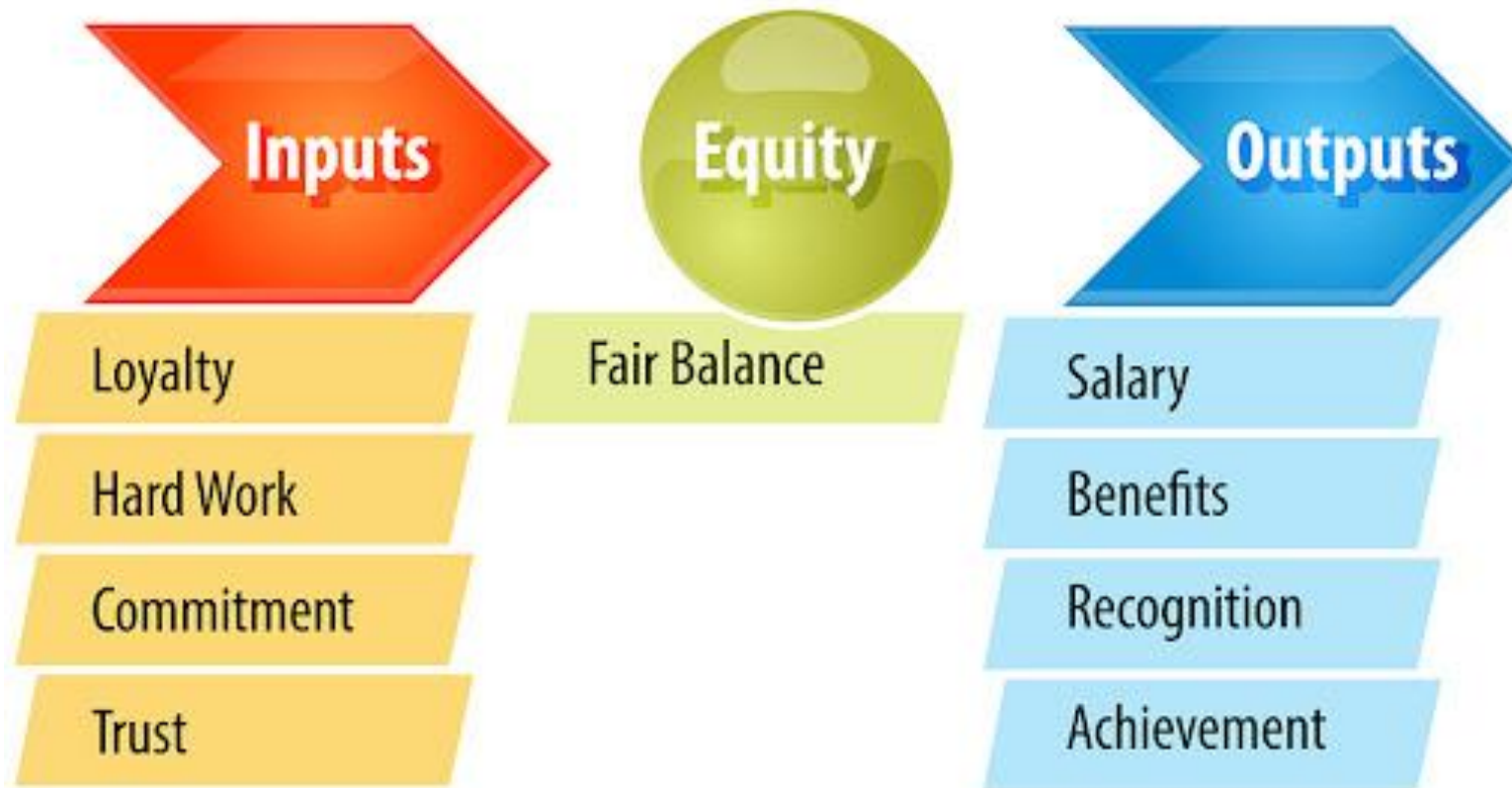
Equity theory



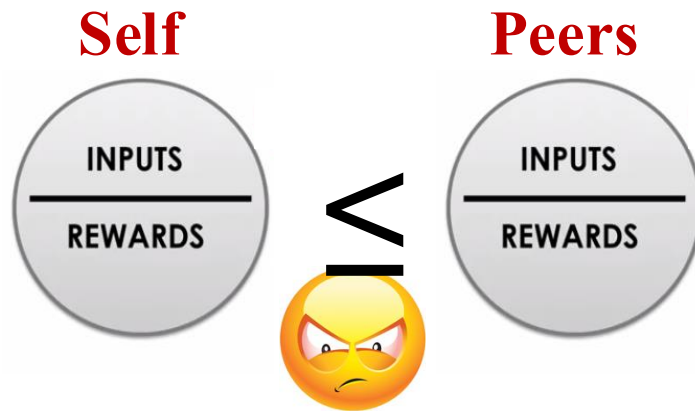
- Equity Theory (Adam's Equity Theory) explains the thought process an employee uses to determine the fairness of management decision making.
- The core of equity theory says that **individuals judge the fairness of their treatment based on how others like them are treated.**
- Employees make social comparisons to others who are similarly situated in the organization.



Equity Theory

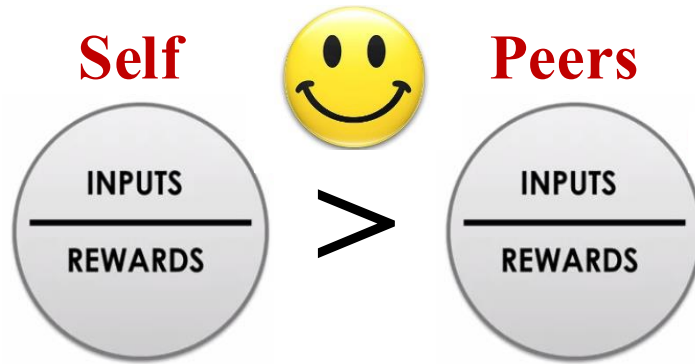


Consequences of inequity



- **Burnout**
- **Stress**
- **Negative affect**
- **Heart disease**
- **Absenteeism**
- **Theft at workplace**

Successfully Applying Equity Principles



- ▶ Recognize what rewards that people value
- ▶ Help employees close the gap between perception and reality
- ▶ Strive for equity in the long run!

Goal Setting Theory

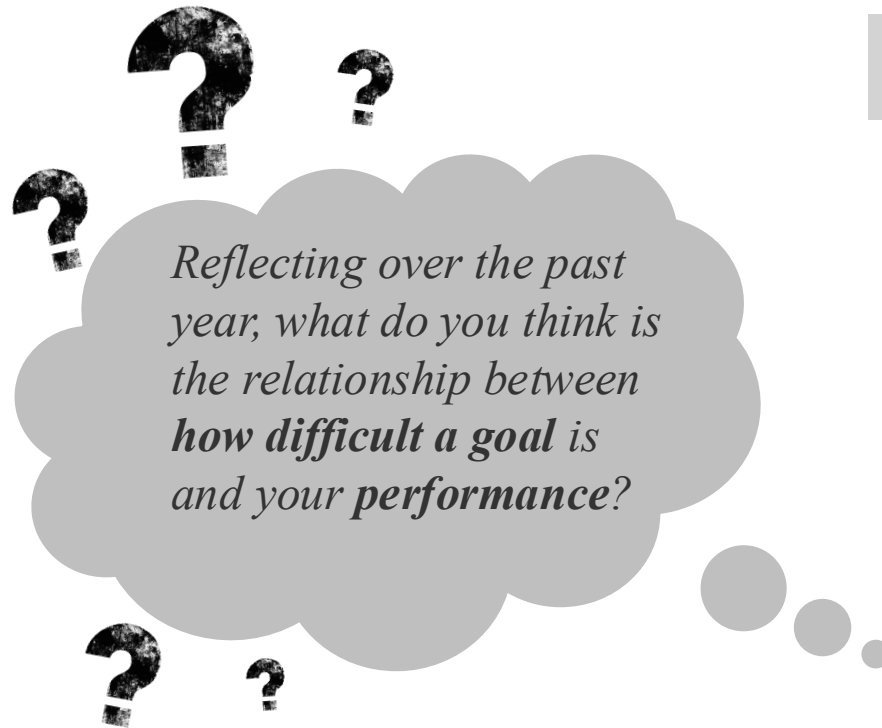


Goal Setting Theory

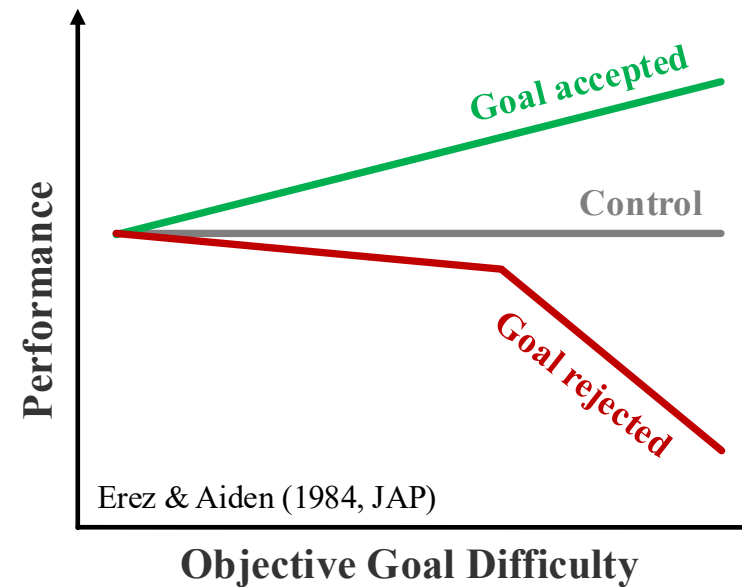


- Goals tell an employee **what needs to be done** and **how much effort** is needed.
- Evidence suggests:
 - Specific goals increase performance
 - Difficult goals, when accepted, result in higher performance than do easy goals
 - Feedback leads to higher performance than does non-feedback.

Do more Ambitious Goals Increase Performance?



Goal difficulty and job performance



To set appropriate goals, we need to understand why they work and why they don't!

Why do Goals Increase Performance?

- 1 Focus**

Goals direct effort and attention
 - ▶ Having goals reduces distraction from goal-irrelevant information
- 2 Energizing**

Goals promote effort
 - ▶ High goals lead to greater effort intensity than low goals
- 3 Persistence**

Goals increase persistence
 - ▶ Hard goals prolong the exertion of effort
- 4 Learning**

Goals facilitate discovery and use of knowledge
 - ▶ Goals affect action indirectly by leading to the arousal, discovery, and/or use of task-relevant knowledge and strategies

Being Busy and Ambitious Can be Good



How Being Busy Can Increase Motivation and Reduce Task Completion Time

Keith Wilcox
Columbia University

Juliano Laran
University of Miami

Andrew T. Stephen
University of Oxford

Peter P. Zubeck
University of Florida

Being busy makes people feel that their using their time effectively

But, Do Not Be Too Ambitious



“Goals Gone Wild”: NYPD Lowering Crime Severity to Make Stats Look Better

SAFETY
Intelligencer / CRIMES AND MISDEMEANORS

NYPD Rigging Crime Stats, According to Ex-Officers

By Joe Coscarelli [Follow @joecoscarelli](#)



Under Ray Kelly, the NYPD has put itself in a tough spot: Summonses and stop-and-frisks are through the roof, but the crime rate must remain low. As a result, officers claim, they're pushed to downgrade crimes to lesser offenses in order to rig the stats. As [Chris Smith](#) wrote for *New York* this year, "The commissioner inherited CompStat, the innovative marriage of computer-analyzed crime stats and grilling of field commanders. But in the Kelly era,

In a survey, 80% of retired police officers reported observing crime rates being manipulated



“Almost” Winning the Nobel Prize Costs You 1.6 Years of Your Life

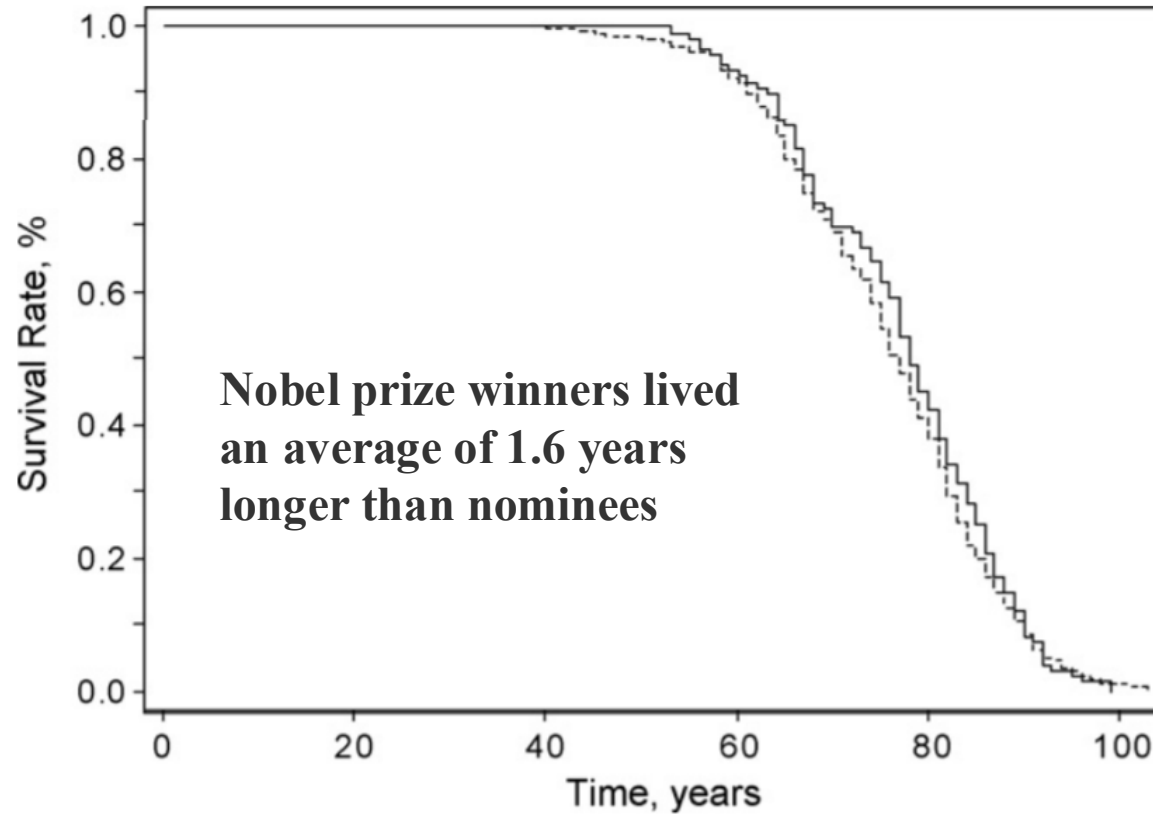


Fig. 1. Survival function for winners (solid line) and nominees (dashed line).

Setting SMART Goals



Is this a Smart Goal?



“Increase sales”

Specific
Measurable
Agreed Upon
Reasonable
Time Bound



Make Your Goal SMART



“Increase sales”	
Specific	▶ Clearly defined and domain-bound (e.g., “ <i>Increase online sales in the top 3 accounts</i> ”)
Measurable	▶ Can be quantified and compared over time (e.g., “ <i>Increase sales by 10% compared to the last quarter</i> ”)
Agreed Upon	▶ Have discussion between manager and sales rep (Note: goals are more effective when people publicly commit)
Reasonable	▶ Make sure employee has necessary skills to reach goals (e.g., compare to historic / peer performance)
Time Bound	▶ Provide time frame for goal completion (e.g., “ <i>Increase sales by the end of the year</i> ”)